

14-3a The Short Run: Market Supply with a Fixed Number of Firms

Consider a market with 1,000 identical firms. For any given price, each firm supplies the quantity of output at which its marginal cost equals the price, as shown in panel (a) of Figure 6. That is, as long as price exceeds average variable cost, each firm’s marginal-cost curve is its supply curve. The quantity of output supplied to the market equals the sum of the quantities supplied by each of the 1,000 individual firms. Thus, to derive the market supply curve, we add the quantity supplied by each firm in the market. As panel (b) of Figure 6 shows, because the firms are identical, the quantity supplied to the market is 1,000 times the quantity supplied by each firm.

Figure 6
Short-Run Market Supply

In the short run, the number of firms in the market is fixed. As a result, the market supply curve, shown in panel (b), reflects the sum of individual firms’ marginal-cost curves, shown in panel (a). Here, in a market of 1,000 identical firms, the quantity of output supplied to the market is 1,000 times the quantity supplied by each firm.

